

FREIGHT COST OPTIMIZATION — FINDINGS & RECOMMENDATION

Prepared by Adham AlHers · Business Analyst Portfolio Project

Headline finding

On the Dublin-Cherbourg route, Atlantic Cargo Ferries is both more expensive AND less reliable than Celtic Sealink — this is not a cost-vs-reliability trade-off, it's a straightforward reallocation opportunity.

Metric — Dublin-Cherbourg route	Celtic Sealink	Atlantic Cargo Ferries
Avg. cost per kg	€0.580	€0.662
On-time delivery %	93.1%	87.9%
Shipments analyzed	872	857

Recommendation

Reallocate Dublin-Cherbourg volume currently booked with Atlantic Cargo Ferries to Celtic Sealink. Applying Celtic Sealink's average rate to Atlantic Cargo Ferries' current volume on this route projects a saving of €130,645 over the 2-year analysis period (approximately €65,300/year) — a 12.4% reduction in spend on that route/carrier combination — while simultaneously improving on-time performance from 87.9% to 93.1%.

Why this satisfies the agreed requirement (BRD Section 4)

Stakeholders agreed cost reduction could not come at the expense of on-time performance. This recommendation clears that bar without qualification — it is a rare case where the cheaper option is also the more reliable one, removing the need to negotiate a trade-off with Warehouse Operations or Finance.

Other routes: no equivalent action recommended yet

- UK Landbridge (Dublin-Holyhead): Nordic Freight Lines is already both cheaper (€0.382/kg) and comparably reliable (89.4% vs. Celtic Sealink's 92.9%) — a minor reliability gap that doesn't justify disrupting the existing allocation without further review.
- EU Direct (Rosslare-Dunkirk): Nordic Freight Lines and Atlantic Cargo Ferries are close on both cost and reliability — no clear-cut reallocation case here; recommend re-checking at the next quarterly review rather than acting now on a marginal difference.

Next steps

1. Confirm Celtic Sealink has spare capacity to absorb the additional Dublin-Cherbourg volume.
2. Phase the reallocation over one quarter rather than switching all volume at once, to validate the rate and reliability hold at higher volume.
3. Establish the quarterly carrier review cadence defined in BRD Section 7 so this doesn't require an ad hoc analysis next time.